Ibiden (4062)

Earnings model update: A reliable presence in the ABF substrate industry; awaiting further catalysts

2027 Extel
All-Japan Equity Research Survey
VOTE
Voting Open Sep 29th - Oct 16th
Please vote for J.P. Morgan (5 stars)



We raise our December 2027 price target to ¥14,350 from ¥14,250 and maintain our Overweight rating. Ibiden has established a strong position in the ABF substrate industry against the backdrop of demand growth outstripping supply capacity and technological advances (larger chips with more layers). As substrate technology advances, the gap between makers' technological capabilities and yields is widening, and many customers are now relying on Ibiden's technological prowess (the decline in yields is severe at Tier 2 substrate manufacturers). We believe this is what underpins Ibiden's valuation premium versus peers. Although it is somewhat premature to factor in the potential for earnings growth from FY2031 supported by Cell7 lines at the Gama plant and Cell9 lines at the Ono plant (it appears likely Ibiden will announce construction with 2Q results), in the event of severe market tightness through FY2030, we expect prices to stabilize and premiums to be added for next-generation products. Consequently, we think FY2030 operating profit is likely to significantly exceed Ibiden's medium-term plan target of ¥300 billion. Also, if Ibiden can secure human resources and further expand production capacity through FY2030, this could drive additional upside.

- **Earnings estimates:** We raise our earnings estimates based on 1Q FY2026 results and current market trends (we change our forex assumption to ¥160 from ¥155). We raise our operating profit estimates for FY2026 from ¥115.6 billion to ¥135.3 billion (guidance: ¥127 billion, Bloomberg consensus: ¥121.0 billion), FY2027 from ¥156.9 billion to ¥181.7 billion (Bloomberg consensus: ¥177.3 billion), FY2028 from ¥209.4 billion to ¥262.6 billion (¥254.6 billion), FY2029 from ¥319.9 billion to ¥372.1 billion, and for FY2030 to ¥392.6 billion from ¥440.3 billion.
- **Major changes:** The revisions mainly reflect price corrections for CPU-related products and price premiums for next-generation products for AI servers announced with 1Q results. Although Ibiden's medium-term plan assumes prices will decline to some degree, we think that, at the very least, a decline in prices can be avoided given the current supply-demand environment. Furthermore, we see potential for large upside to FY2030 operating profit guidance. In addition to the launch of EMIB-T from FY2027, we expect increased demand for CPUs for server applications and in the number of substrates used in AI ASICs. We expect Cell7 and Cell9 lines to start in FY2031, and given there is no capacity expansion scheduled from 2H FY2029 through FY2030 under existing plans, we think interest will center on how Ibiden will address this gap.

Overweight

4062.T, 4062 JP
Price (08 Oct 26):¥11,810
▲**Price Target (Dec-27):¥14,350**
Prior (Dec-27):¥14,250

Japan Equity Research
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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (¥)	135.86	158.38	16.6%
Adj. EPS - 28E (¥)	184.87	213.72	15.6%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	96	94	81	76	67
Growth	27	23	38	25	16
Momentum	5	5	16	14	27
Quality	69	74	74	49	72
Low Vol	98	92	89	94	76

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	250.9%	13.5%	23.7%	377.2%
Rel	230.9%	12.5%	21.5%	350.7%

Company Data

Shares O/S (mn)	558
52-week range (¥)	13,750-2,386
Market cap ($ bn)	41.7
Exchange rate	158.08
Free float (%)	89.1%
3M ADV (mn)	16.12
3M ADV ($ mn)	999.0
Volatility (90 Day)	107
Index	TOPIX
BBG ANR (Buy | Hold | Sell)	16|2|1

Key Metrics (FYE Mar)

¥ in millions	2026/3A	2027/3E	2028/3E	2029/3E
Financial Estimates				
Revenue	416,201.0	570,071.0	691,884.0	847,284.0
EBITDA	128,263	217,827	279,077	369,567
EBIT	62,027.0	135,275.4	181,677.2	262,567.2
Net income	63,713	93,627	126,341	182,964
Reported EPS	107.8	158.4	213.7	309.5
BBG EPS	96.31	146.98	214.70	-
Cashflow from operations	77,016	224,727	403,535	433,241
FCFF	11,047	12,566	101,848	161,554
Margins and Growth				
Revenue Growth Y/Y (%)	12.7%	37.0%	21.4%	22.5%
EBIT margin	14.9%	23.7%	26.3%	31.0%
EBIT Growth	30.3%	118.1%	34.3%	44.5%
EBITDA margin	30.8%	38.2%	40.3%	43.6%
EBITDA Growth Y/Y (%)	26.0%	69.8%	28.1%	32.4%
Net margin	15.3%	16.4%	18.3%	21.6%
Fully Diluted EPS growth	89.0%	47.0%	34.9%	44.8%
Ratios				
Effective Tax Rate	29.6%	30.4%	30.0%	30.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	12.2%	15.8%	18.3%	22.1%
Valuation				
FCFF yield	0.2%	0.2%	1.5%	2.3%
Dividend yield	0.1%	0.1%	0.2%	0.3%
EV/Revenue	2.0	1.7	1.5	1.3
EV/EBITDA	6.6	4.3	3.8	3.0
P/E	109.6	74.6	55.3	38.2

Summary Investment Thesis and Valuation

Investment Thesis

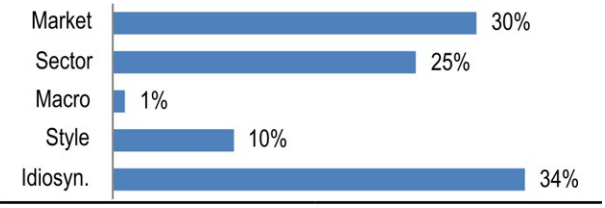
In addition Ibiden's dominant market share in substrates for GPUs for AI servers, we also expect it to see major earnings growth in EMIB substrates for ASICs and in standard ABF substrates from growing demand for AI servers. We believe the company is well-positioned to maximize benefits from the shift to larger and higher multi-layered FC-BGA substrates for AI server-use GPUs because of its strong technological abilities.

Valuation

Our December 2027 price target of ¥14,350 is based on (1) the ¥8,200 value derived from a zero-growth ROIC model (EV/IC = ROIC/WACC) using our FY2030 estimates (Rf = 2.57%, Rp = 5.15%, beta = 1.30, WACC = 6.72%) plus (2) Ibiden's 75% premium to the sector-average P/E (from August 2025 to September 2026, 12-month forward Bloomberg consensus basis), reflecting the rise in Ibiden's share price since August 2025 on expectations for earnings growth for AI server applications.

We calculated our previous December 2027 price target of ¥14,250 based on (1) the ¥8,200 value derived from a zero-growth ROIC model (EV/IC = ROIC/WACC) using our FY2029 estimates (Rf = 2.57%, Rp = 5.15%, beta = 1.30, WACC = 5.9%) plus (2) Ibiden's 75% premium to the sector-average P/E (from August 2025 to July 2026, 12-month forward Bloomberg consensus basis), reflecting the rise in Ibiden's share price since August 2025 on expectations for earnings growth for AI server applications.

Performance Drivers



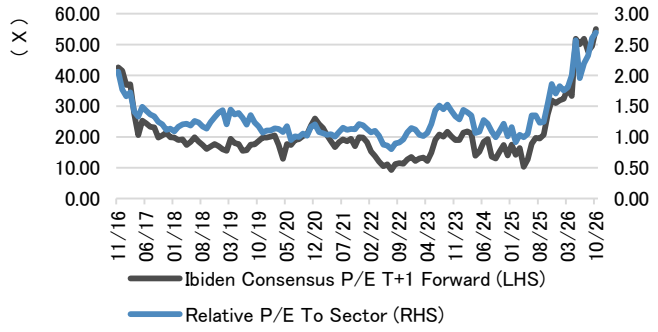
Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.55	0.55
Sect: Technology	0.55	0.60
Macro:		
Japan CPI Nationwide YoY	0.24	0.15
Japan Unemployment Rate SA	-0.16	-0.14
JP GDP Real Chained NSA YoY	-0.20	-0.13
Quant Styles:		
LowVol	-0.66	-0.63
DivYld	-0.71	-0.62
Value	-0.63	-0.62

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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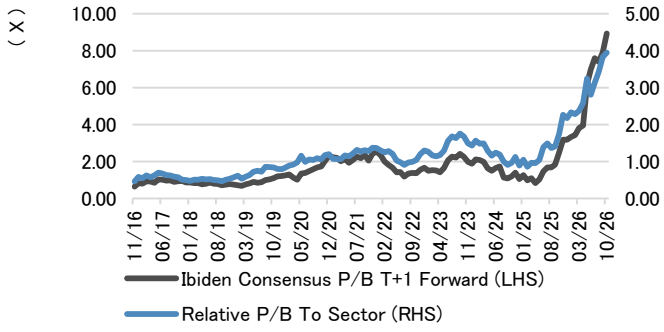
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Figure 1: 12-Month Forward Consensus P/E, Sector Relative P/E



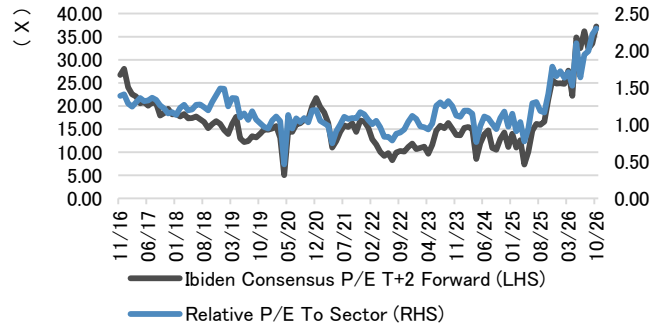
Source: Bloomberg Finance L.P. consensus estimates, J.P. Morgan.
Note: Share price and consensus as of Oct 8

Figure 2: 12-Month Forward Consensus P/B, Sector Relative P/B



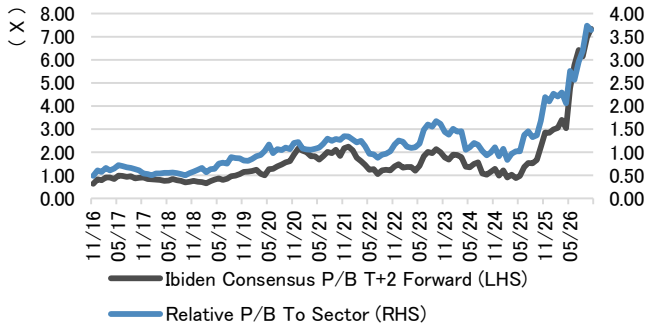
Source: Bloomberg Finance L.P. consensus estimates, J.P. Morgan.
Note: Share price and consensus as of Oct 8

Figure 3: 24-Month Forward Consensus P/E, Sector Relative P/E



Source: Bloomberg Finance L.P. consensus estimates, J.P. Morgan.
Note: Share price and consensus as of Oct 8

Figure 4: 24-Month Forward Consensus P/B, Sector Relative P/B



Source: Bloomberg Finance L.P. consensus estimates, J.P. Morgan.
Note: Share price and consensus as of Oct 8

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Figure 5: Earnings Forecast Summary

Ibiden 4062			Sales JPY mn	Sales YoY	Operating Profits JPY mn	Operating Profits YoY	Operating Profits OPM	Recurring profits JPY mn	Recurring profits YoY	Net Profits JPY mn	Net Profits YoY	EPS JPY	BPS JPY	DPS JPY	Capex JPY mn	Dep. JPY mn	R&D JPY mn
FY3/24			370,511	-11.27%	47,568	-34.26%	12.84%	51,140	-32.87%	31,490	-39.66%	53.2	886	10.0	146,583	46,032	20,229
FY3/25			369,436	-0.29%	47,621	0.11%	12.89%	47,890	-6.36%	33,704	7.03%	57.0	878	10.0	157,304	54,205	27,451
FY3/26			416,201	12.66%	62,027	30.25%	14.90%	60,822	27.00%	63,713	89.04%	107.8	985	15.0	64,277	66,236	29,916
FY3/27E		JPM	570,071	36.97%	135,275	118.09%	23.73%	138,321	127.42%	93,627	46.95%	158.4	1,135	17.5	210,438	82,552	30,800
FY3/28E		JPM	691,884	21.37%	181,677	34.30%	26.26%	184,087	33.09%	126,341	34.94%	213.7	1,334	27.5	300,000	97,400	34,000
FY3/29E		JPM	847,284	22.46%	262,567	44.52%	30.99%	264,977	43.94%	182,964	44.82%	309.5	1,629	32.5	270,000	107,000	36,000
FY3/30E		JPM	1,081,274	27.62%	372,146	41.73%	34.42%	375,546	41.73%	260,362	42.30%	440.4	2,045	50.0	360,000	119,000	40,000
FY3/31E		JPM	1,222,324	13.04%	440,252	18.30%	36.02%	443,652	18.14%	308,037	18.31%	521.1	2,537	60.0	290,000	129,400	44,000
FY3/27E		CoE 26/5	500,000	35.34%	90,000	88.99%	18.00%	90,000	87.93%	58,000	72.09%	98.1	-	17.5	210,000	81,000	37,000
FY3/27		CoE 26/8	550,000	48.88%	127,000	166.69%	23.09%	127,000	165.19%	84,000	149.23%	142.1	-	17.5	210,000	81,000	37,000
FY3/27E		BBG	542,082	46.73%	121,043	154.18%	22.33%	126,618	164.39%	85,826	154.65%	147.0	1,116	19.7	205,000	80,624	-
FY3/28E		BBG	679,138	25.28%	177,282	46.46%	26.10%	180,859	42.84%	127,133	48.13%	214.7	1,323	25.8	247,500	98,528	-
FY3/29E		BBG	855,882	26.02%	254,634	43.63%	29.75%	255,571	41.31%	180,421	41.92%	317.4	1,609	35.9	170,000	115,069	-
FY3/26	1H		195,485	7.65%	32,573	14.24%	16.66%	32,305	9.39%	22,069	7.51%	37.3	940	7.5	34,810	25,429	15,900
	2H		220,716	17.50%	29,454	54.14%	13.34%	28,517	55.33%	41,644	216.04%	70.4	985	7.5	29,467	40,807	14,016
FY3/27	1HE	JPM	258,489	32.23%	58,442	79.42%	22.61%	59,783	85.06%	39,910	80.84%	67.5	-	-	105,438	36,476	14,800
	2HE	JPM	311,582	41.17%	76,834	160.86%	24.66%	78,539	175.41%	53,717	28.99%	90.9	-	-	105,000	46,076	16,000
FY3/28	1HE	JPM	322,802	24.88%	87,604	49.90%	27.14%	88,809	48.55%	60,906	52.61%	103.0	-	-	135,000	41,500	17,000
	2HE	JPM	369,082	18.45%	94,074	22.44%	25.49%	95,279	21.31%	65,435	21.81%	110.7	-	-	165,000	55,900	17,000
FY3/29	1HE	JPM	395,602	22.55%	115,584	31.94%	29.22%	116,789	31.51%	80,492	32.16%	136.2	-	-	135,000	51,300	18,000
	2HE	JPM	451,682	22.38%	146,984	56.24%	32.54%	148,189	55.53%	102,472	56.60%	173.3	-	-	135,000	55,700	18,000
FY3/27E	1HE	CoE 26/5	230,000	17.66%	38,000	16.66%	16.52%	37,500	16.08%	23,000	4.22%	38.9	-	7.5	-	-	-
	2HE	CoE 26/5	270,000	22.33%	52,000	76.55%	19.26%	52,500	84.10%	35,000	-15.95%	59.2	-	10.0	-	-	-
FY3/27	1HE	CoE 26/8	253,500	29.68%	54,500	67.32%	21.50%	54,000	67.16%	34,000	54.06%	57.5	-	7.5	-	-	-
	2HE	CoE 26/8	296,500	34.34%	72,500	146.15%	24.45%	73,000	155.99%	50,000	20.07%	84.6	-	10.0	-	-	-
FY3/26	1Q		97,464	10.48%	17,636	56.14%	18.09%	17,407	35.27%	12,728	44.37%	21.5	911	-	20,436	11,667	7,800
	2Q		98,021	4.99%	14,937	-13.24%	15.24%	14,898	-10.59%	9,341	-20.24%	15.8	940	-	14,374	13,762	8,100
	3Q		103,136	16.21%	11,954	88.40%	11.59%	11,328	77.67%	8,931	108.96%	15.1	971	-	12,536	19,065	6,700
	4Q		117,580	18.65%	17,500	37.10%	14.88%	17,189	43.44%	32,713	267.44%	55.3	985	-	16,931	21,742	7,316
FY3/27	1Q		123,219	26.43%	26,880	52.42%	21.81%	27,466	57.79%	17,918	40.78%	30.3	-	-	20,138	17,588	6,800
	2QE	JPM	135,270	38.00%	31,562	111.30%	23.33%	32,317	116.92%	21,992	135.43%	37.2	-	-	85,300	18,888	8,000
	3QE	JPM	151,472	46.87%	36,562	205.85%	24.14%	37,512	231.14%	25,628	186.96%	43.4	-	-	42,500	21,988	8,000
	4QE	JPM	160,110	36.17%	40,272	130.12%	25.15%	41,027	138.68%	28,089	-14.14%	47.5	-	-	62,500	24,088	8,000
FY3/28	1QE	JPM	161,232	30.85%	44,302	64.81%	27.48%	45,252	64.76%	31,046	73.27%	52.5	-	-	67,500	20,200	8,500
	2QE	JPM	161,570	19.44%	43,302	37.20%	26.80%	43,557	34.78%	29,860	35.78%	50.5	-	-	67,500	21,300	8,500
	3QE	JPM	184,372	21.72%	47,562	30.09%	25.80%	48,512	29.32%	33,328	30.04%	56.4	-	-	82,500	27,400	8,500
	4QE	JPM	184,710	15.36%	46,512	15.49%	25.18%	46,767	13.99%	32,107	14.30%	54.3	-	-	82,500	28,500	8,500
FY3/29	1QE	JPM	197,632	22.58%	58,292	31.58%	29.50%	59,242	30.92%	40,839	31.54%	69.1	-	-	67,500	25,100	9,000
	2QE	JPM	197,970	22.53%	57,292	32.31%	28.94%	57,547	32.12%	39,653	32.80%	67.1	-	-	67,500	26,200	9,000
	3QE	JPM	225,672	22.40%	73,492	54.52%	32.57%	74,442	53.45%	51,479	54.46%	87.1	-	-	67,500	27,300	9,000
	4QE	JPM	226,010	22.36%	73,492	58.01%	32.52%	73,747	57.69%	50,993	58.82%	86.3	-	-	67,500	28,400	9,000
FY3/27	2QE	CoE 26/8	130,281	33.67%	27,620	56.61%	21.20%	26,534	52.43%	16,082	26.35%	27.2	-	-	-	-	-

Source: Company data, Bloomberg Finance L.P. consensus estimates, J.P. Morgan estimates.
Note:Consensus as of Oct 8

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Figure 6: Sales and OP Forecasts by Segment (Half Year, Full Year)

FY JPY mn	FY3/2024	FY3/2025	FY3/2026	FY3/2027E JPM New	FY3/2028E JPM New	FY3/2029E JPM New	FY3/2030E JPM New	FY3/2031E JPM New	FY3/2027E JPM Old	FY3/2028E JPM Old	FY3/2029E JPM Old	FY3/2030E JPM Old	FY3/2031E JPM Old	FY3/2027E CoE 26/5	FY3/2027E CoE 26/7	FY3/2026 1H	FY3/2026 2H	FY3/2027E 1HE	FY3/2027E 2HE	FY3/2028E 1HE	FY3/2028E 2HE	FY3/2029E 1HE	FY3/2029E 2HE	FY3/2027E 1HE CoE 26/5	FY3/2027E 2HE CoE 26/5	FY3/2027E 1HE JPM 26/7	FY3/2027E 2HE JPM 26/7
Sales	370,511	369,436	416,201	570,071	691,884	847,284	1,081,274	1,222,324	534,406	645,931	750,071	988,955	1,139,560	500,000	550,000	195,485	220,716	258,489	311,582	322,802	369,082	395,602	451,682	230,000	270,000	253,500	296,500
yoy % chg.	-11.3%	-0.3%	12.7%	37.0%	21.4%	22.5%	27.6%	13.0%	28.4%	20.9%	16.1%	31.8%	15.2%	20.1%	32.1%	7.7%	17.5%	32.2%	41.2%	24.9%	18.5%	22.6%	22.4%	17.7%	22.3%	29.7%	34.3%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	4.1%	12.9%	17.1%	20.5%	3.6%	14.3%	7.2%	14.2%	4.2%	17.4%	14.9%	17.0%
Gross profits	102,471	113,328	131,669	210,769	263,171	350,061	466,146	540,252	191,622	238,917	297,441	413,852	492,630	-	-	67,913	63,756	95,436	115,334	127,598	135,574	158,578	191,484	-	-	-	-
as a % of sales	27.7%	30.7%	31.6%	37.0%	38.0%	41.3%	43.1%	44.2%	35.9%	37.0%	39.7%	41.8%	43.2%	-	-	34.7%	28.9%	36.9%	37.0%	39.5%	36.7%	40.1%	42.4%	-	-	-	-
SGA	54,903	65,707	69,642	75,494	81,494	87,494	94,000	100,000	76,000	82,000	88,000	94,000	100,000	-	-	35,340	34,302	36,994	38,500	39,994	41,500	42,994	44,500	-	-	-	-
as a % of sales	14.8%	17.8%	16.7%	13.2%	11.8%	10.3%	8.7%	8.2%	14.2%	12.7%	11.7%	9.5%	8.8%	-	-	18.1%	15.5%	14.3%	12.4%	12.4%	11.2%	10.9%	9.9%	-	-	-	-
Operating profits	47,568	47,621	62,027	135,275	181,677	262,567	372,146	440,252	115,622	156,917	209,441	319,852	392,630	90,000	127,000	32,573	29,454	58,442	76,834	87,604	94,074	115,584	146,984	38,000	52,000	54,500	72,500
yoy % chg.	-34.3%	0.1%	30.3%	118.1%	34.3%	44.5%	41.7%	18.3%	86.4%	35.7%	33.5%	52.7%	22.8%	45.1%	104.7%	14.2%	54.1%	79.4%	160.9%	49.9%	22.4%	31.9%	56.2%	16.7%	76.5%	4.8%	33.0%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	70.5%	-9.6%	98.4%	31.5%	14.0%	7.4%	22.9%	27.2%	29.0%	36.8%	-	-
as a % of sales	12.8%	12.9%	14.9%	23.7%	26.3%	31.0%	34.4%	36.0%	21.6%	24.3%	27.9%	32.3%	34.5%	18.0%	23.1%	16.7%	13.3%	22.6%	24.7%	27.1%	25.5%	29.2%	32.5%	16.5%	19.3%	21.5%	24.5%
Recurring profits	51,140	47,890	60,822	138,321	184,087	264,977	375,546	443,652	118,332	159,727	212,251	323,252	396,030	90,000	127,000	32,305	28,517	59,783	78,539	88,809	95,279	116,789	148,189	37,500	52,500	54,000	73,000
as a % of sales	13.8%	13.0%	14.6%	24.3%	26.6%	31.3%	34.7%	36.3%	22.1%	24.7%	28.3%	32.7%	34.8%	18.0%	23.1%	16.5%	12.9%	23.1%	25.2%	27.5%	25.8%	29.5%	32.8%	16.3%	19.4%	21.3%	24.6%
Net Profits	31,490	33,704	63,713	93,627	126,341	182,964	260,362	308,037	80,312	109,289	148,056	223,756	274,701	58,000	84,000	22,069	41,644	39,910	53,717	60,906	65,435	80,492	102,472	23,000	35,000	34,000	50,000
as a % of sales	8.5%	9.1%	15.3%	16.4%	18.3%	21.6%	24.1%	25.2%	15.0%	16.9%	19.5%	22.6%	24.1%	11.6%	15.3%	11.3%	18.9%	15.4%	17.2%	18.9%	17.7%	20.3%	22.7%	10.0%	13.0%	13.4%	16.9%
R&D	20,229	27,451	29,916	30,800	34,000	36,000	40,000	44,000	37,000	38,000	38,000	42,000	44,000	37,000	-	15,900	14,016	14,800	16,000	17,000	17,000	18,000	18,000	-	-	-	-
Depreciation	46,032	54,205	66,236	82,552	97,400	107,000	119,000	129,400	80,800	97,400	107,000	119,000	129,400	81,000	81,000	25,429	40,807	36,476	46,076	41,500	55,900	51,300	55,700	-	-	-	-
Electronics	36,703	44,298	55,800	70,900	88,000	98,000	110,000	120,000	71,000	88,000	98,000	110,000	120,000	71,000	-	20,500	35,300	30,900	40,000	37,000	51,000	47,000	51,000	-	-	-	-
Capex	146,583	157,304	64,277	210,438	300,000	270,000	360,000	290,000	210,000	300,000	270,000	360,000	290,000	210,000	210,000	34,810	29,467	105,438	105,000	135,000	165,000	135,000	135,000	-	-	-	-
Inventory	65,318	67,175	70,962	-	-	-	-	-	-	-	-	-	-	-	-	68,446	70,962	-	-	-	-	-	-	-	-	-	-
Sales																											
Electronics	190,700	197,223	243,316	386,222	503,200	652,600	881,910	1,018,266	354,675	459,800	558,940	792,668	938,003	330,000	375,000	113,547	129,769	169,922	216,300	232,000	271,200	301,800	350,800	150,000	180,000	168,000	207,000
yoy % chg.	-23.94%	3.42%	23.37%	58.73%	30.29%	29.69%	35.14%	15.46%	45.77%	29.64%	21.56%	41.82%	18.33%	35.63%	54.12%	15.56%	31.12%	49.65%	66.68%	36.53%	25.38%	30.09%	29.35%	32.10%	38.71%	47.96%	59.51%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	14.73%	14.29%	30.94%	27.29%	7.26%	16.90%	11.28%	16.24%	15.59%	20.00%	29.46%	23.21%
Ceramic	96,481	84,068	82,554	90,765	91,600	93,600	94,280	94,974	85,400	87,800	88,800	89,956	91,226	80,000	84,000	39,689	42,865	45,565	45,200	45,800	45,800	46,800	46,800	38,000	42,000	43,000	41,000
yoy % chg.	7.28%	-12.87%	-1.80%	9.95%	0.92%	2.18%	0.73%	0.74%	3.45%	2.81%	1.14%	1.30%	1.41%	-3.09%	1.75%	-7.99%	4.72%	14.81%	5.45%	0.52%	1.33%	2.18%	2.18%	-4.26%	-2.02%	8.34%	-4.35%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-3.04%	8.00%	6.30%	-0.80%	1.33%	0.00%	2.18%	0.00%	-11.35%	10.53%	0.31%	-4.65%
Others	83,330	88,145	90,331	93,084	97,084	101,084	105,084	109,084	94,331	98,331	102,331	106,331	110,331	90,000	91,000	42,249	48,082	43,002	50,082	45,002	52,082	47,002	54,082	42,000	48,000	42,500	48,500
yoy % chg.	8.35%	5.78%	2.48%	3.05%	4.30%	4.12%	3.96%	3.81%	4.43%	4.24%	4.07%	3.91%	3.76%	-0.37%	0.74%	5.11%	0.28%	1.78%	4.16%	4.65%	3.99%	4.44%	3.84%	-0.59%	-0.17%	0.59%	0.87%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-11.89%	13.81%	-10.57%	16.46%	-10.14%	15.73%	-9.75%	15.06%	-12.65%	14.29%	-11.61%	14.12%
Total Sales	370,511	369,436	416,201	570,071	691,884	847,284	1,081,274	1,222,324	534,406	645,931	750,071	988,955	1,139,560	500,000	550,000	195,485	220,716	258,489	311,582	322,802	369,082	395,602	451,682	230,000	270,000	253,500	296,500
yoy % chg.	-11.27%	-0.29%	12.66%	36.97%	21.37%	22.46%	27.62%	13.04%	28.40%	20.87%	16.12%	31.85%	15.23%	20.13%	32.15%	7.65%	17.50%	32.23%	41.17%	24.88%	18.45%	22.55%	22.38%	17.66%	22.33%	29.68%	34.34%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	4.06%	12.91%	17.11%	20.54%	3.60%	14.34%	7.19%	14.18%	4.21%	17.39%	14.85%	16.96%
Operating profits																											
Electronics	27,276	26,847	45,248	117,480	164,717	245,407	355,062	423,240	99,682	140,057	192,741	303,105	375,772	75,000	110,000	25,429	19,819	49,777	67,704	80,124	84,594	108,004	137,404	33,000	42,000	47,500	62,500
yoy % chg.	-55.02%	-1.57%	68.54%	159.64%	40.21%	48.99%	44.68%	19.20%	120.30%	40.50%	37.62%	57.26%	23.97%	65.75%	143.10%	41.35%	123.77%	95.75%	241.61%	60.97%	24.95%	34.80%	62.43%	56.61%	111.92%	86.79%	215.35%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	187.11%	-22.06%	151.16%	36.01%	18.34%	5.58%	27.67%	27.22%	66.51%	27.27%	139.67%	31.58%
OP margin	14.3%	13.6%	18.6%	30.4%	32.7%	37.6%	40.3%	41.6%	22.1%	30.5%	34.5%	38.2%	40.1%	22.7%	29.3%	22.4%	15.3%	29.3%	31.3%	34.5%	31.2%	35.8%	39.2%	22.0%	23.3%	28.3%	30.2%
Ceramic	13,356	12,218	7,646	9,160	9,160	9,360	9,284	9,212	8,140	9,060	8,900	8,947	9,058	6,000	6,500	3,839	3,807	4,930	4,230	4,580	4,580	4,680	4,680	2,500	3,500	3,500	3,000
yoy % chg.	117.91%	-8.52%	-37.42%	19.80%	0.00%	2.18%	-0.81%	-0.77%	6.46%	11.30%	-27.16%	17.01%	11.27%	-21.53%	-14.99%	-45.81%	-25.85%	28.42%	11.11%	-7.10%	8.27%	2.18%	2.18%	-6.05%	-8.06%	-8.83%	-21.20%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-25.22%	-0.83%	29.50%	-14.20%	8.27%	0.00%	2.18%	0.00%	-34.33%	40.00%	-8.06%	-14.29%
OP margin	13.8%	14.5%	9.3%	10.1%	10.0%	10.0%	9.8%	9.7%	9.5%	10.3%	10.0%	9.9%	9.9%	7.5%	7.7%	9.7%	8.9%	10.8%	9.4%	10.0%	10.0%	10.0%	10.0%	6.6%	8.3%	28.3%	30.2%
Others	7,057	8,706	8,964	8,739	8,000	8,000	8,000	8,000	8,000	8,000	8,000	8,000	8,000	9,000	10,500	3,250	5,714	3,739	5,000	3,000	5,000	3,000	5,000	2,500	6,500	3,500	7,000
yoy % chg.	15.01%	23.37%	2.96%	-2.51%	-8.46%	0.00%	0.00%	0.00%	-10.75%	0.00%	-8.11%	-10.75%	0.00%	0.40%	17.14%	-6.82%	9.51%	15.05%	-12.50%	-19.76%	0.00%	0.00%	0.00%	-47.37%	13.76%	7.69%	22.51%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-37.72%	75.82%	-34.56%	33.73%	-40.00%	66.67%	-40.00%	66.67%	-56.25%	160.00%	-38.75%	100.00%
OP margin	8.5%	9.9%	9.9%	9.4%	8.2%	7.9%	7.6%	7.3%	8.5%	8.1%	7.8%	7.5%	7.3%	10.0%	11.5%	7.7%	11.9%	8.7%	10.0%	6.7%	9.6%	6.4%	9.2%	6.0%	13.5%	28.3%	30.2%
Elimination	-121	-150	169	-104	-200	-200	-200	-200	-200	-200	-200	-200	-200	0	0	55	114	-4	-100	-100	-100	-100	-100	0	0	0	0
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-100.00%	-	-	-	-	-	-	-	-	-	-	-	-	-
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
OP margin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total OP	47,568	47,621	62,027	135,275	181,677	262,567	372,146	440,252	115,622	156,917	209,441	319,852	392,630	90,000	127,000	32,573	29,454	58,442	76,834	87,604	94,074	115,584	146,984	38,000	52,000	54,500	72,500
yoy % chg.	-34.26%	0.11%	30.25%	118.09%	34.30%	44.52%	41.73%	18.30%	86.41%	35.72%	33.47%	52.72%	22.75%	45.10%	104.75%	14.24%	54.14%	79.42%	160.86%	49.90%	22.44%	31.94%	56.24%	16.66%	76.55%	67.32%	146.15%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	70.46%	-9.58%	98.42%	31.47%	14.02%	7.39%	22.87%	27.17%	29.01%	36.84%	85.03%	33.03%
OP margin	12.84%	12.89%	14.90%	23.73%	26.26%	30.99%	34.42%	36.02%	21.64%	24.29%	27.92%	32.34%	34.45%	18.00%	23.09%	16.66%	13.34%	22.61%	24.66%	27.14%	25.49%	29.22%	32.54%	16.52%	19.26%	21.50%	24.45%

Source: Company data, J.P. Morgan estimates.

Figure 7: Sales and OP Forecasts by Segment (Quarterly)

FY JPY mn	FY3/2025 1Q	2Q	3Q	4Q	FY3/2026 1Q	2Q	3Q	4Q	FY3/2027E 1Q	2QE JPM	3QE JPM	4QE JPM	FY3/2028E 1QE JPM	2QE JPM	3QE JPM	4QE JPM	FY3/2029E 1QE JPM	2QE JPM	3QE JPM	4QE JPM	FY3/2027 2QE CoE 26/7
Sales	88,220	93,365	88,752	99,099	97,464	98,021	103,136	117,580	123,219	135,270	151,472	160,110	161,232	161,570	184,372	184,710	197,632	197,970	225,672	226,010	130,281
yoy % chg.	-6.7%	0.4%	-4.1%	9.7%	10.5%	5.0%	16.2%	18.6%	26.4%	38.0%	46.9%	36.2%	30.8%	19.4%	21.7%	15.4%	22.6%	22.5%	22.4%	22.4%	32.9%
qoq % chg.	-2.4%	5.8%	-4.9%	11.7%	-1.6%	0.6%	5.2%	14.0%	4.8%	9.8%	12.0%	5.7%	0.7%	0.2%	14.1%	0.2%	7.0%	0.2%	14.0%	0.1%	5.7%
Gross profits	25,614	32,755	23,602	31,357	35,072	32,841	28,070	35,686	44,874	50,562	55,562	59,772	63,796	63,802	68,062	67,512	79,286	79,292	95,492	95,992	-
as a % of sales	29.0%	35.1%	26.6%	31.6%	36.0%	33.5%	27.2%	30.4%	36.4%	37.4%	36.7%	37.3%	39.6%	39.5%	36.9%	36.6%	40.1%	40.1%	42.3%	42.5%	-
SGA	14,319	15,538	17,257	18,593	17,436	17,904	16,116	18,186	17,994	19,000	19,000	19,500	19,494	20,500	20,500	21,000	20,994	22,000	22,000	22,500	-
as a % of sales	16.2%	16.6%	19.4%	18.8%	17.9%	18.3%	15.6%	15.5%	14.6%	14.0%	12.5%	12.2%	12.1%	12.7%	11.1%	11.4%	10.6%	11.1%	9.7%	10.0%	-
Operating profits	11,295	17,217	6,345	12,764	17,636	14,937	11,954	17,500	26,880	31,562	36,562	40,272	44,302	43,302	47,562	46,512	58,292	57,292	73,492	73,492	27,620
yoy % chg.	38.1%	8.3%	-50.7%	20.2%	56.1%	-13.2%	88.4%	37.1%	52.4%	111.3%	205.9%	130.1%	64.8%	37.2%	30.1%	15.5%	31.6%	32.3%	54.5%	58.0%	-53.3%
qoq % chg.	6.3%	52.4%	-63.1%	101.2%	38.2%	-15.3%	-20.0%	46.4%	53.6%	17.4%	15.8%	10.1%	10.0%	-2.3%	9.8%	-2.2%	25.3%	-1.7%	28.3%	0.0%	2.8%
as a % of sales	12.8%	18.4%	7.1%	12.9%	18.1%	15.2%	11.6%	14.9%	21.8%	23.3%	24.1%	25.2%	27.5%	26.8%	25.8%	25.2%	29.5%	28.9%	32.6%	32.5%	21.2%
Pretax profits	12,868	16,663	6,376	11,983	17,407	14,898	11,328	17,189	27,466	32,317	37,512	41,027	45,252	43,557	48,512	46,767	59,242	57,547	74,442	73,747	26,534
as a % of sales	14.6%	17.8%	7.2%	12.1%	17.9%	15.2%	11.0%	14.6%	22.3%	23.9%	24.8%	25.6%	28.1%	27.0%	26.3%	25.3%	30.0%	29.1%	33.0%	32.6%	20.4%
Net Profits	8,816	11,711	4,274	8,903	12,728	9,341	8,931	32,713	17,918	21,992	25,628	28,089	31,046	29,860	33,328	32,107	40,839	39,653	51,479	50,993	16,082
as a % of sales	10.0%	12.5%	4.8%	9.0%	13.1%	9.5%	8.7%	27.8%	14.5%	16.3%	16.9%	17.5%	19.3%	18.5%	18.1%	17.4%	20.7%	20.0%	22.8%	22.6%	12.3%
R&D	5,500	6,460	8,300	7,191	7,800	8,100	6,700	7,316	6,800	8,000	8,000	8,000	8,500	8,500	8,500	8,500	9,000	9,000	9,000	9,000	-
Depreciation	10,198	12,702	15,278	16,027	11,667	13,762	19,065	21,742	17,588	18,888	21,988	24,088	20,200	21,300	27,400	28,500	25,100	26,200	27,300	28,400	-
Electronics	8,100	10,200	12,000	13,998	9,300	11,200	16,400	18,900	14,900	16,000	19,000	21,000	18,000	19,000	25,000	26,000	23,000	24,000	25,000	26,000	-
Capex	40,321	43,211	26,971	46,801	20,436	14,374	12,536	16,931	20,138	85,300	42,500	62,500	67,500	67,500	82,500	82,500	67,500	67,500	67,500	67,500	-
Inventory	68,054	69,201	73,136	67,175	67,552	68,446	73,426	70,962	76,867	-	-	-	-	-	-	-	-	-	-	-	-
Electronics	44,949	53,305	47,163	51,806	56,285	57,262	58,366	71,403	77,522	92,400	104,200	112,100	116,000	116,000	135,600	135,600	150,900	150,900	175,400	175,400	90,478
yoy % chg.	-10.99%	2.35%	3.41%	21.85%	25.22%	7.42%	23.75%	37.83%	37.73%	61.36%	78.53%	57.00%	49.63%	25.54%	30.13%	20.96%	30.09%	30.09%	29.35%	29.35%	58.01%
qoq % chg.	5.73%	18.59%	-11.52%	9.84%	8.65%	1.74%	1.93%	22.34%	8.57%	19.19%	12.77%	7.58%	3.48%	0.00%	16.90%	0.00%	11.28%	0.00%	16.24%	0.00%	16.71%
Ceramic	23,571	19,564	18,921	22,012	19,600	20,089	20,898	21,967	24,365	21,200	22,400	22,800	22,900	22,900	22,900	22,900	23,400	23,400	23,400	23,400	18,635
yoy % chg.	-3.40%	-17.49%	-23.61%	-6.74%	-16.85%	2.68%	10.45%	-0.20%	24.31%	5.53%	7.19%	3.79%	-6.01%	8.02%	2.23%	0.44%	2.18%	2.18%	2.18%	2.18%	-7.24%
qoq % chg.	-0.13%	-17.00%	-3.29%	16.34%	-10.96%	2.49%	4.03%	5.12%	10.92%	-12.99%	5.66%	1.79%	0.44%	0.00%	0.00%	0.00%	2.18%	0.00%	0.00%	0.00%	-23.52%
Others	19,700	20,496	22,668	25,281	21,579	20,670	23,872	24,210	21,332	21,670	24,872	25,210	22,332	22,670	25,872	26,210	23,332	23,670	26,872	27,210	21,168
yoy % chg.	-0.01%	18.82%	2.33%	4.35%	9.54%	0.85%	5.31%	-4.24%	-1.14%	4.84%	4.19%	4.13%	4.69%	4.61%	4.02%	3.97%	4.48%	4.41%	3.87%	3.82%	2.41%
qoq % chg.	-18.69%	4.04%	10.60%	11.53%	-14.64%	-4.21%	15.49%	1.42%	-11.89%	1.58%	14.78%	1.36%	-11.42%	1.51%	14.12%	1.31%	-10.98%	1.45%	13.53%	1.26%	-0.77%
Total Sales	88,220	93,365	88,752	99,099	97,464	98,021	103,136	117,580	123,219	135,270	151,472	160,110	161,232	161,570	184,372	184,710	197,632	197,970	225,672	226,010	130,281
yoy % chg.	-6.75%	0.35%	-4.08%	9.69%	10.48%	4.99%	16.21%	18.65%	26.43%	38.00%	46.87%	36.17%	30.85%	19.44%	21.72%	15.36%	22.58%	22.53%	22.40%	22.36%	32.91%
qoq % chg.	-2.35%	5.83%	-4.94%	11.66%	-1.65%	0.57%	5.22%	14.00%	4.80%	9.78%	11.98%	5.70%	0.70%	0.21%	14.11%	0.18%	7.00%	0.17%	13.99%	0.15%	5.73%
Operating profits																					
Electronics	5,314	12,676	1,920	6,937	14,028	11,401	7,608	12,211	21,375	28,402	32,482	35,222	40,562	39,562	43,322	41,272	54,502	53,502	69,202	68,202	26,125
yoy % chg.	19.39%	9.84%	-74.98%	92.11%	163.98%	-10.06%	296.25%	76.03%	52.37%	149.12%	326.94%	188.44%	89.76%	39.29%	33.37%	17.18%	34.37%	35.24%	59.74%	65.25%	129.15%
qoq % chg.	47.16%	138.54%	-84.85%	261.30%	102.22%	-18.73%	-33.27%	60.50%	75.05%	32.87%	14.37%	8.44%	15.16%	-2.47%	9.50%	-4.73%	32.06%	-1.83%	29.34%	-1.45%	22.22%
OP margin	11.8%	23.8%	4.1%	13.4%	24.9%	19.9%	13.0%	17.1%	27.6%	30.7%	31.2%	31.4%	35.0%	34.1%	31.9%	30.4%	36.1%	35.5%	39.5%	38.9%	28.9%
Ceramic	4,282	2,802	2,253	2,881	2,096	1,743	2,064	1,743	3,220	1,710	2,130	2,100	2,290	2,290	2,290	2,290	2,340	2,340	2,340	2,340	280
yoy % chg.	50.88%	-4.01%	-34.05%	-31.13%	-51.05%	-37.79%	-8.39%	-39.50%	53.63%	-1.89%	3.20%	20.48%	-28.88%	33.92%	7.51%	9.05%	2.18%	2.18%	2.18%	2.18%	-83.94%
qoq % chg.	2.37%	-34.56%	-19.59%	27.87%	-27.25%	-16.84%	18.42%	-15.55%	84.74%	-46.89%	24.56%	-1.41%	9.05%	0.00%	0.00%	0.00%	2.18%	0.00%	0.00%	0.00%	-91.30%
OP margin	18.2%	14.3%	11.9%	13.1%	10.7%	8.7%	9.9%	7.9%	13.2%	8.1%	9.5%	9.2%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	28.9%
Others	1,769	1,719	2,404	2,814	1,503	1,747	2,242	3,472	2,239	1,500	2,000	3,000	1,500	1,500	2,000	3,000	1,500	1,500	2,000	3,000	1,261
yoy % chg.	91.45%	11.84%	36.98%	-0.95%	-15.04%	1.63%	-6.74%	23.38%	48.97%	-14.14%	-10.79%	-13.59%	-33.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	-27.82%
qoq % chg.	-37.73%	-2.83%	39.85%	17.05%	-46.59%	16.23%	28.33%	54.86%	-35.51%	-33.01%	33.33%	50.00%	-50.00%	0.00%	33.33%	50.00%	-50.00%	0.00%	33.33%	50.00%	-43.68%
OP margin	9.0%	8.4%	10.6%	11.1%	7.0%	8.5%	9.4%	14.3%	10.5%	6.9%	8.0%	11.9%	6.7%	6.6%	7.7%	11.4%	6.4%	6.3%	7.4%	11.0%	28.9%
Elimination	-70	20	-232	132	9	46	40	74	46	-50	-50	-50	-50	-50	-50	-50	-50	-50	-50	-50	-46
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-200.00%
qoq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-200.00%
OP margin	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	28.9%
Total OP	11,295	17,217	6,345	12,764	17,636	14,937	11,954	17,500	26,880	31,562	36,562	40,272	44,302	43,302	47,562	46,512	58,292	57,292	73,492	73,492	27,620
yoy % chg.	38.06%	8.34%	-50.72%	20.18%	56.14%	-13.24%	88.40%	37.10%	52.42%	111.30%	205.85%	130.12%	64.81%	37.20%	30.09%	15.49%	31.58%	32.31%	54.52%	58.01%	84.91%
qoq % chg.	6.35%	52.43%	-63.15%	101.17%	38.17%	-15.30%	-19.97%	46.39%	53.60%	17.42%	15.84%	10.15%	10.01%	-2.26%	9.84%	-2.21%	25.33%	-1.72%	28.28%	0.00%	2.75%
OP margin	12.80%	18.44%	7.15%	12.88%	18.09%	15.24%	11.59%	14.88%	21.81%	23.33%	24.14%	25.15%	27.48%	26.80%	25.80%	25.18%	29.50%	28.94%	32.57%	32.52%	21.20%

Source: Company data, J.P. Morgan estimates.

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J.P.Morgan

Figure 8: Profit and Loss Statement

FY JPY mn	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E	FY3/2026 1Q	2Q	3Q	4Q	FY3/2027 1Q	2QE	3QE	4QE	FY3/2028 1QE	2QE	3QE	4QE	FY3/2029 1QE	2QE	3QE	4QE
Sales	369,436	416,201	570,071	691,884	847,284	1,081,274	1,222,324	97,464	98,021	103,136	117,580	123,219	135,270	151,472	160,110	161,232	161,570	184,372	184,710	197,632	197,970	225,672	226,010
COGS	256,108	284,532	359,302	428,713	497,223	615,128	682,072	62,392	65,180	75,068	81,894	78,345	84,708	95,910	100,338	97,436	97,788	116,310	117,198	118,346	118,678	130,180	130,018
Gross Profit	113,328	131,669	210,769	263,171	350,061	466,146	540,252	35,072	32,841	28,070	35,686	44,874	50,562	55,562	59,772	63,796	63,802	68,062	67,512	79,286	79,292	95,492	95,992
SG&A	65,707	69,642	75,494	81,494	87,494	94,000	100,000	17,436	17,904	16,116	18,186	17,994	19,000	19,000	19,500	19,494	20,500	20,500	21,000	20,994	22,000	22,000	22,500
Operating Profit	47,621	62,027	135,275	181,677	262,567	372,146	440,252	17,636	14,937	11,954	17,500	26,880	31,562	36,562	40,272	44,302	43,302	47,562	46,512	58,292	57,292	73,492	73,492
Financial Income and Expenses	3,199	2,402	2,474	2,410	2,410	3,000	3,000	877	414	707	404	1,014	255	950	255	950	255	950	255	950	255	950	255
Foreign Exchange Gains / Losses	-1,336	320	1,386	0	0	0	0	-127	553	-331	225	386	500	0	500	0	0	0	0	0	0	0	0
Equity method income	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Others	-1,584	-3,927	-814	0	0	400	400	-979	-1,006	-1,002	-940	-814	0	0	0	0	0	0	0	0	0	0	0
Recurring Profit	47,890	60,822	138,321	184,087	264,977	375,546	443,652	17,407	14,898	11,328	17,189	27,466	32,317	37,512	41,027	45,252	43,557	48,512	46,767	59,242	57,547	74,442	73,747
Extraordinary Gains	54,235	59,281	603	800	800	800	800	1,302	3,719	3,282	50,978	3	200	200	200	200	200	200	200	200	200	200	200
Extraordinary Losses	50,674	29,011	3,939	4,000	4,000	4,000	4,000	1,663	3,677	3,393	20,278	939	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000
Profit Before Tax (EBT)	51,451	91,092	134,985	180,887	261,777	372,346	440,452	17,046	14,939	11,217	47,890	26,530	31,517	36,712	40,227	44,452	42,757	47,712	45,967	58,442	56,747	73,642	72,947
Corporate Income Tax	17,400	26,929	40,996	54,266	78,533	111,704	132,136	4,168	5,514	2,188	15,059	8,459	9,455	11,014	12,068	13,336	12,827	14,314	13,790	17,533	17,024	22,093	21,884
Minority Interest	346	449	362	280	280	280	280	148	86	97	118	152	70	70	70	70	70	70	70	70	70	70	70
Net Income	33,704	63,713	93,627	126,341	182,964	260,362	308,037	12,728	9,341	8,931	32,713	17,918	21,992	25,628	28,089	31,046	29,860	33,328	32,107	40,839	39,653	51,479	50,993
Tax Rate	33.8%	29.6%	30.4%	30.0%	30.0%	30.0%	30.0%	24.45%	36.91%	19.51%	31.44%	31.88%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%
% to Sales																							
COGS	69.32%	68.36%	63.03%	61.96%	58.68%	56.89%	55.80%	64.02%	66.50%	72.78%	69.65%	63.58%	62.62%	63.32%	62.67%	60.43%	60.51%	63.08%	63.45%	59.88%	59.95%	57.69%	57.53%
Gross Profit	30.68%	31.64%	36.97%	38.04%	41.32%	43.11%	44.20%	35.98%	33.50%	27.22%	30.35%	36.42%	37.38%	36.68%	37.33%	39.57%	39.49%	36.92%	36.55%	40.12%	40.05%	42.31%	42.47%
SG&A	17.79%	16.73%	13.24%	11.78%	10.33%	8.69%	8.18%	17.89%	18.27%	15.63%	15.47%	14.60%	14.05%	12.54%	12.18%	12.09%	12.69%	11.12%	11.37%	10.62%	11.11%	9.75%	9.96%
EBITDA	101,826	128,263	217,827	279,077	369,567	491,146	569,652	29,303	28,699	31,019	39,242	44,468	50,450	58,550	64,360	64,502	64,602	74,962	75,012	83,392	83,492	100,792	101,892
Operating Profit	12.89%	14.90%	23.73%	26.26%	30.99%	34.42%	36.02%	18.09%	15.24%	11.59%	14.88%	21.81%	23.33%	24.14%	25.15%	27.48%	26.80%	25.80%	25.18%	29.50%	28.94%	32.57%	32.52%
Recurring Profit	12.96%	14.61%	24.26%	26.61%	31.27%	34.73%	36.30%	17.86%	15.20%	10.98%	14.62%	22.29%	23.89%	24.76%	25.62%	28.07%	26.96%	26.31%	25.32%	29.98%	29.07%	32.99%	32.63%
Net Profit	9.12%	15.31%	16.42%	18.26%	21.59%	24.08%	25.20%	13.06%	9.53%	8.66%	27.82%	14.54%	16.26%	16.92%	17.54%	19.26%	18.48%	18.08%	17.38%	20.66%	20.03%	22.81%	22.56%
YoY Analysis																							
Sales	-0.29%	12.66%	36.97%	21.37%	22.46%	27.62%	13.04%	10.48%	4.99%	16.21%	18.65%	26.43%	38.00%	46.87%	36.17%	30.85%	19.44%	21.72%	15.36%	22.58%	22.53%	22.40%	22.36%
Gross Profit	10.60%	16.18%	60.08%	24.86%	33.02%	33.16%	15.90%	36.93%	0.26%	18.93%	13.81%	27.95%	53.96%	97.94%	67.49%	42.17%	26.19%	22.50%	12.95%	24.28%	24.28%	40.30%	42.19%
SG&A	19.68%	5.99%	8.40%	7.95%	7.36%	7.44%	6.38%	21.77%	15.23%	-6.61%	-2.19%	3.20%	6.12%	17.90%	7.23%	8.34%	7.89%	7.89%	7.69%	7.69%	7.32%	7.32%	7.14%
Operating Profit	0.11%	30.25%	118.09%	34.30%	44.52%	41.73%	18.30%	56.14%	-13.24%	88.40%	37.10%	52.42%	111.30%	205.85%	130.12%	64.81%	37.20%	30.09%	15.49%	31.58%	32.31%	54.52%	58.01%
Recurring Profit	-6.36%	27.00%	127.42%	33.09%	43.94%	41.73%	18.14%	35.27%	-10.59%	77.67%	43.44%	57.79%	116.92%	231.14%	138.68%	64.76%	34.78%	29.32%	13.99%	30.92%	32.12%	53.45%	57.69%
Profit Before Tax	8.47%	77.05%	48.19%	34.01%	44.72%	42.24%	18.29%	42.94%	-1.92%	85.01%	162.67%	55.64%	110.97%	227.29%	-16.00%	67.55%	35.66%	29.96%	14.27%	31.47%	32.72%	54.35%	58.69%
Net Profit	7.03%	89.04%	46.95%	34.94%	44.82%	42.30%	18.31%	44.37%	-20.24%	108.96%	267.44%	40.78%	135.43%	186.96%	-14.14%	73.27%	35.78%	30.04%	14.30%	31.54%	32.80%	54.46%	58.82%
Per Share																							
Shares Outstanding(thousands)	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442	558,442
Fully Diluted	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159	591,159
EPS (JPY)	60	114	168	226	328	466	552	23	17	16	59	32	39	46	50	56	53	60	57	73	71	92	91
Fully Diluted	57	108	158	214	310	440	521	22	16	15	55	30	37	43	48	53	51	56	54	69	67	87	86
CFPS	157	233	315	401	519	679	783	44	41	50	98	64	73	85	93	92	92	109	109	118	118	141	142
Fullu Dilluted	149	220	298	378	491	642	740	41	39	47	92	60	69	81	88	87	87	103	103	112	111	133	134
BPS (JPY)	878	985	1,135	1,334	1,629	2,045	2,537	911	940	971	985	-	-	-	-	-	-	-	-	-	-	-	-
DPS (JPY)	10.0	15.0	17.5	27.5	32.5	50.0	60.0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
DOE	1.14%	1.52%	1.54%	2.06%	2.00%	2.44%	2.37%	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Dividend Payout Ratio	16.57%	13.15%	10.44%	12.16%	9.92%	10.72%	10.88%	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
R&D	27,451	29,916	30,800	34,000	36,000	40,000	44,000	7,800	8,100	6,700	7,316	6,800	8,000	8,000	8,000	8,500	8,500	8,500	8,500	9,000	9,000	9,000	9,000
as a % of sales	7.43%	7.19%	5.40%	4.91%	4.25%	3.70%	3.60%	8.00%	8.26%	6.50%	6.22%	5.52%	5.91%	5.28%	5.00%	5.27%	5.26%	4.61%	4.60%	4.55%	4.55%	3.99%	3.98%
Depreciation	54,205	66,236	82,552	97,400	107,000	119,000	129,400	11,667	13,762	19,065	21,742	17,588	18,888	21,988	24,088	20,200	21,300	27,400	28,500	25,100	26,200	27,300	28,400
as a % of sales	14.67%	15.91%	14.48%	14.08%	12.63%	11.01%	10.59%	11.97%	14.04%	18.49%	18.49%	14.27%	13.96%	14.52%	15.04%	12.53%	13.18%	14.86%	15.43%	12.70%	13.23%	12.10%	12.57%
Electronics	44,298	55,800	70,900	88,000	98,000	110,000	120,000	9,300	11,200	16,400	18,900	14,900	16,000	19,000	21,000	18,000	19,000	25,000	26,000	23,000	24,000	25,000	26,000
as a % of sales	11.99%	13.41%	12.44%	12.72%	11.57%	10.17%	9.82%	9.54%	11.43%	15.90%	16.07%	12.09%	11.83%	12.54%	13.12%	11.16%	11.76%	13.56%	14.08%	11.64%	12.12%	11.08%	11.50%
Ceramic	5,807	6,000	4,700	4,000	3,200	2,800	2,400	1,400	1,500	1,500	1,600	1,100	1,200	1,200	1,200	1,000	1,000	1,000	1,000	800	800	800	800
as a % of sales	1.57%	1.44%	0.82%	0.58%	0.38%	0.26%	0.20%	1.44%	1.53%	1.45%	1.36%	0.89%	0.89%	0.79%	0.75%	0.62%	0.62%	0.54%	0.54%	0.40%	0.40%	0.35%	0.35%
Others	4,100	4,436	6,952	5,400	5,800	6,200	7,000	967	1,062	1,165	1,242	1,588	1,688	1,788	1,888	1,200	1,300	1,400	1,500	1,300	1,400	1,500	1,600
as a % of sales	1.11%	1.07%	1.22%	0.78%	0.68%	0.57%	0.57%	0.99%	1.08%	1.13%	1.06%	1.29%	1.25%	1.18%	1.18%	0.74%	0.80%	0.76%	0.81%	0.66%	0.71%	0.66%	0.71%
CAPEX	157,304	64,277	210,438	300,000	270,000	380,000	290,000	20,436	14,374	12,536	16,931	20,138	85,300	42,500	62,500	67,500	67,500	82,500	82,500	67,500	67,500	67,500	67,500
as a % of sales	42.58%	15.44%	36.91%	43.36%	31.87%	33.29%	23.73%	20.97%	14.66%	12.15%	14.40%	16.34%	63.06%	28.06%	39.04%	41.87%	41.78%	44.75%	44.66%	34.15%	34.10%	29.91%	29.87%
Electronics	146,755	58,066	200,024	290,000	260,000	350,000	280,000	18,773	13,170	10,944	15,179	17,224	82,800	40,000	60,000	65,000	65,000	80,000	80,000	65,000	65,000	65,000	65,000
as a % of sales	39.72%	13.95%	35.09%	41.91%	30.69%	32.37%	22.91%	19.26%	13.44%	10.61%	12.91%	13.98%	61.21%	26.41%	37.47%	40.31%	40.23%	43.39%	43.31%	32.89%	32.83%	28.80%	28.76%
Ceramic	7,104	1,758	1,915	2,000	2,000	2,000	2,000	503	516	434	305	415	500	500	500	500	500	500	500	500	500	500	500
as a % of sales	1.92%	0.42%	0.34%	0.29%	0.24%	0.18%	0.16%	0.52%	0.53%	0.42%	0.26%	0.34%	0.37%	0.33%	0.31%	0.31%	0.31%	0.27%	0.27%	0.25%	0.25%	0.22%	0.22%
Others	3,445	4,453	8,499	8,000	8,000	8,000	8,000	1,160	688	1,158	1,447	2,499	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000
as a % of sales	0.93%	1.07%	1.49%	1.16%	0.94%	0.74%	0.65%	1.19%	0.70%	1.12%	1.23%	2.03%	1.48%	1.32%	1.25%	1.24%	1.24%	1.08%	1.08%	1.01%	1.01%	0.89%	0.88%
EBITDA	101,826	128,263	217,827	279,077	369,567	491,146	569,652	29,303	28,699	31,019	39,242	44,468	50,450	58,550	64,360	64,502	64,602	74,962	75,012	83,392	83,492	100,792	101,892
yoy % chg.	8.79%	25.96%	69.83%	28.12%	32.42%	32.90%	15.98%	36.34%	-4.06%	43.45%	36.30%	51.75%	75.79%	88.75%	64.01%	45.05%	28.05%	28.03%	16.55%	29.29%	29.24%	34.46%	35.83%
qoq % chg.	-	-	-	-	-	-	-	1.78%	-2.06%	8.08%	26.51%	13.32%	13.45%	16.06%	9.92%	0.22%	0.16%	16.04%	0.07%	11.17%	0.12%	20.72%	1.09%
as a % of sales	27.56%	30.82%	38.21%	40.34%	43.62%	45.42%	46.60%	30.07%	29.28%	30.08%	33.37%	36.09%	37.30%	38.65%	40.20%	40.01%	39.98%	40.66%	40.61%	42.20%	42.17%	44.66%	45.08%
Cashflow	87,909	129,949	176,179	223,741	289,964	379,362	437,437	24,395	23,103	27,996	54,455	35,506	40,880	47,616	52,177	51,246	51,160	60,728	60,607	65,939	65,853	78,779	79,393
yoy % chg.	13.40%	47.82%	35.58%	27.00%	29.60%	30.83%	15.31%	28.30%	-5.37%	43.19%	118.43%	45.55%	76.95%	70.08%	-4.18%	44.33%	25.15%	27.54%	16.16%	28.67%	28.72%	29.72%	31.00%
qoq % chg.	-	-	-	-	-	-	-	-2.15%	-5.30%	21.18%	94.51%	-34.80%	15.13%	16.48%	9.58%	-1.78%	-0.17%	18.70%	-0.20%	8.80%	-0.13%	19.63%	0.78%
as a % of sales	23.80%	31.22%	30.90%	32.34%	34.22%	35.08%	35.79%	25.03%	23.57%	27.14%	46.31%	28.82%	30.22%	31.44%	32.59%	31.78%	31.66%	32.94%	32.81%	33.36%	33.26%	34.91%	35.13%
Free Cashflow	-69,395	65,672	-34,259	-76,259	19,964	19,362	147,437	3,959	8,729	15,460	37,524	15,368	-44,420	5,116	-10,323	-16,254	-16,340	-21,772	-21,893	-1,561	-1,647	11,279	11,893
yoy % chg.	-	-	-	-	-	-3.01%	661.46%	-	-	-	-	288.18%	-	-66.91%	-	-	-	-	-	-	-	-	-
qoq % chg.	-	-	-	-	-	-	-	-	120.48%	77.11%	142.72%	-59.04%	-	-	-	-	-	-	-	-	-	-	5.44%
as a % of sales	-18.78%	15.78%	-6.01%	-11.02%	2.36%	1.79%	12.06%	4.06%	8.91%	14.99%	31.91%	12.47%	-32.84%	3.38%	-6.45%	-10.08%	-10.11%	-11.81%	-11.85%	-0.79%	-0.83%	5.00%	5.26%

Source: Company data, J.P. Morgan estimates.

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Figure 9: Balance Sheet

FY JPY mn	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E	FY3/2025 1Q	2Q	3Q	4Q	FY3/2026 1Q	2Q	3Q	4Q	FY3/2027 1Q
Assets																	
Cash and Cash Equivalents	443,583	390,656	295,681	300,197	388,375	533,466	633,079	863,254	425,295	374,233	358,431	390,656	374,228	325,476	340,725	295,681	373,366
Accounts Receivable	65,330	68,131	81,810	112,055	135,999	166,545	212,539	240,264	65,792	60,301	68,694	68,131	64,831	68,316	72,064	81,810	85,139
Inventories	65,318	67,175	70,962	89,609	106,921	124,007	153,412	170,108	68,054	69,201	73,136	67,175	67,552	68,446	73,426	70,962	76,867
Other Current Assets	26,579	23,618	17,088	17,088	17,088	17,088	17,088	17,088	31,038	35,521	22,973	23,618	25,767	25,237	18,509	17,088	15,411
Total Current Assets	600,810	549,580	465,541	518,950	648,383	841,106	1,016,118	1,290,714	590,179	539,256	523,234	549,580	532,378	487,475	504,724	465,541	550,783
Tangible Fixed Assets	408,777	460,054	437,704	565,590	768,190	931,190	1,172,190	1,332,790	444,516	460,076	476,005	460,054	465,519	465,165	459,875	437,704	436,577
Investments and Other Assets	120,404	72,050	57,180	57,180	57,180	57,180	57,180	57,180	113,014	100,671	106,443	72,050	81,782	85,298	89,519	57,180	69,346
Total Investments	110,166	58,797	32,285	32,285	32,285	32,285	32,285	32,285	102,303	90,711	95,782	58,797	70,452	73,665	77,826	32,285	37,669
Deferred Tax Assets	4,253	7,159	18,331	18,331	18,331	18,331	18,331	18,331	4,342	3,916	4,125	7,159	5,271	5,240	5,316	18,331	19,490
Intangible Assets	4,590	4,349	4,418	4,418	4,418	4,418	4,418	4,418	4,754	4,404	4,666	4,349	4,269	4,617	4,529	4,418	4,685
Other non current asset	1,395	1,745	2,146	2,146	2,146	2,146	2,146	2,146	1,615	1,640	1,870	1,745	1,790	1,776	1,848	2,146	7,502
Total Non Current Assets	529,181	532,104	494,884	622,770	825,370	988,370	1,229,370	1,389,970	557,530	560,747	582,448	532,104	547,301	550,463	549,394	494,884	505,923
Total Assets	1,129,991	1,081,684	960,425	1,141,720	1,473,753	1,829,476	2,245,488	2,680,684	1,147,709	1,100,003	1,105,682	1,081,684	1,079,679	1,037,938	1,054,118	960,425	1,056,706
Liabilities and Equity																	
Accounts Payable	43,875	38,761	44,143	55,743	66,512	77,140	95,432	105,818	44,223	42,354	48,936	38,761	36,237	38,442	45,710	44,143	48,881
Short-term debt	90,000	90,000	15,000	15,000	15,000	15,000	15,000	15,000	90,000	70,000	60,000	90,000	90,000	65,000	65,000	15,000	15,000
Accrued Taxes	4,144	14,869	22,013	22,013	22,013	22,013	22,013	22,013	4,151	7,059	2,286	14,869	4,601	9,839	2,185	22,013	8,914
Advanced Payment	80,098	92,084	80,950	180,950	390,950	570,950	735,950	885,950	77,019	88,643	87,112	92,084	89,764	77,577	76,929	80,950	154,526
Other Non Current Financial Liabilities	140,245	92,003	45,018	45,018	45,018	45,018	45,018	45,018	150,589	111,070	96,065	92,003	85,294	70,962	69,403	45,018	54,669
Total Current Liabilities	358,362	327,717	221,645	318,724	539,493	730,121	913,413	1,073,799	365,982	319,126	294,399	327,717	305,896	261,820	259,227	221,645	301,574
LT Debts	253,476	252,976	177,476	177,476	177,476	177,476	177,476	177,476	253,351	273,226	283,101	252,976	252,851	237,726	237,601	177,476	170,248
Operating Lease Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred Tax Liabilities	13,433	1,015	1,284	1,284	1,284	1,284	1,284	1,284	10,991	7,745	9,130	1,015	2,749	3,621	4,859	1,284	1,290
Retirement Benefit Liabilities	751	800	633	633	633	633	633	633	817	756	860	800	808	855	932	633	664
Other Non Current Financial Liabilities	2,173	1,878	1,975	1,975	1,975	1,975	1,975	1,975	2,013	1,849	1,876	1,878	1,793	1,763	1,958	1,975	2,399
Total Non Current Liabilities	269,833	256,669	181,368	181,368	181,368	181,368	181,368	181,368	267,172	283,576	294,967	256,669	258,201	243,965	245,350	181,368	174,601
Minority Interests	6,852	6,803	7,339	7,701	7,981	8,261	8,541	8,821	6,917	6,918	6,779	6,803	6,981	7,055	7,144	7,339	7,482
Capital Stock	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,152	64,669
Capital Surplus	64,494	64,565	64,565	64,565	64,565	64,565	64,565	64,565	64,494	64,494	64,600	64,565	64,565	64,565	64,565	64,565	70,333
Retained Earnings	255,698	283,807	340,525	424,379	535,363	700,178	932,618	1,207,148	261,717	273,428	274,904	283,807	293,738	303,078	307,813	340,525	354,247
Treasury Shares	-2,983	-3,497	-3,452	-3,452	-3,452	-3,452	-3,452	-3,452	-2,873	-2,861	-3,500	-3,497	-3,453	-3,442	-3,448	-3,452	-1,598
Other Equity	113,583	81,468	84,283	84,283	84,283	84,283	84,283	84,283	120,148	91,170	109,381	81,468	89,599	96,745	109,315	84,283	85,398
Shareholder's Equity	494,944	490,495	550,073	633,927	744,911	909,726	1,142,166	1,416,696	507,638	490,383	509,537	490,495	508,601	525,098	542,397	550,073	573,049
Total Liabilities and Equity	1,129,991	1,081,684	960,425	1,141,720	1,473,753	1,829,476	2,245,488	2,680,684	1,147,709	1,100,003	1,105,682	1,081,684	1,079,679	1,037,938	1,054,118	960,425	1,056,706

FY JPY mn	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E	FY3/2025 1Q	2Q	3Q	4Q	FY3/2026 1Q	2Q	3Q	4Q	FY3/2027 1Q
Debt with interest	343,476	342,976	192,476	192,476	192,476	192,476	192,476	192,476	420,370	431,869	430,213	435,060	432,615	380,303	379,530	273,426	339,774
Net Debt	-20,009	44,404	-22,255	73,229	195,051	229,960	295,347	215,172	-4,925	57,636	71,782	44,404	58,387	54,827	38,805	-22,255	-33,592
Net Debt (Including Investment Securities)	-130,175	-14,393	-54,540	40,944	162,766	197,675	263,062	182,887	-107,228	-33,075	-24,000	-14,393	-12,065	-18,838	-39,021	-54,540	-71,261
Consolidated Employees (Persons)	11,375	11,168	11,105	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-Consolidated Employees (Persons)	3,829	3,920	4,036	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Asset Composition Ratio																	
Current Assets	53.17%	50.81%	48.47%	45.45%	44.00%	45.98%	45.25%	48.15%	51.42%	49.02%	47.32%	50.81%	49.31%	46.97%	47.88%	48.47%	52.12%
Tangible Fixed Assets	36.18%	42.53%	45.57%	49.54%	52.12%	50.90%	52.20%	49.72%	38.73%	41.82%	43.05%	42.53%	43.12%	44.82%	43.63%	45.57%	41.31%
Current Liabilities	31.71%	30.30%	23.08%	27.92%	36.61%	39.91%	40.68%	40.06%	31.89%	29.01%	26.63%	30.30%	28.33%	25.23%	24.59%	23.08%	28.54%
Shareholders' Equity	43.80%	45.35%	57.27%	55.52%	50.55%	49.73%	50.86%	52.85%	44.23%	44.58%	46.08%	45.35%	47.11%	50.59%	51.46%	57.27%	54.23%
Efficiency Analysis																	
Total Asset Turnover	0.37	0.33	0.41	0.54	0.53	0.51	0.53	0.50	0.31	0.33	0.32	0.36	0.36	0.37	0.39	0.47	0.49
Turnover Period (Months)	978.97	1,092.56	895.44	672.97	689.89	711.50	687.78	735.51	1,177.96	1,098.40	1,133.88	1,007.06	1,011.78	985.67	925.48	781.71	746.89
Tangible Fixed Asset Turnover	1.04	0.85	0.93	1.14	1.04	1.00	1.03	0.98	0.83	0.83	0.76	0.85	0.84	0.84	0.89	1.05	1.13
Turnover Period (Months)	352.55	429.20	393.66	321.19	351.81	366.04	355.01	374.01	441.30	442.05	481.21	430.96	433.28	433.20	409.22	348.29	323.72
Accounts Receivable Turnover	5.12	5.54	5.55	5.88	5.58	5.60	5.70	5.40	5.38	5.92	5.50	5.79	5.86	5.89	5.88	6.11	5.90
Turnover Period (Months)	71.31	65.93	65.75	62.06	65.43	65.17	63.98	67.61	67.81	61.62	66.31	62.99	62.24	61.97	62.10	59.71	61.82
Inventory Turnover	3.71	3.87	4.12	4.48	4.36	4.31	4.43	4.22	3.76	3.53	3.66	3.86	3.70	3.83	4.23	4.54	4.24
Turnover Period (Months)	98.39	94.41	88.60	81.56	83.66	84.76	82.31	86.56	97.20	103.32	99.68	94.50	98.52	95.20	86.23	80.44	86.09
Inventory Turnover (Sales-Based)	5.78	5.59	5.35	5.18	5.80	5.99	6.11	6.68	5.42	5.14	5.25	5.06	5.88	5.73	5.53	5.71	6.36
Turnover Period (Days)	63.16	65.26	68.24	70.41	62.92	60.91	59.75	54.60	67.35	70.98	69.56	72.13	62.03	63.66	66.04	63.87	57.36
Accounts Payable Turnover	3.18	3.10	3.43	3.60	3.51	3.46	3.56	3.39	2.84	2.80	2.85	3.09	3.33	3.49	3.57	3.65	3.37
Turnover Period (Months)	114.80	117.77	106.35	101.47	104.09	105.45	102.40	107.70	128.41	130.34	127.86	118.13	109.69	104.55	102.29	100.12	108.35
Liquidity Turnover Ratio	0.99	0.89	1.21	1.91	2.01	1.84	1.85	1.63	0.81	0.93	0.97	1.06	1.02	1.12	1.24	1.48	1.47
Turnover Period (Months)	367.45	412.11	300.95	190.76	181.63	198.56	196.89	223.41	449.36	390.71	376.64	344.88	358.06	325.69	294.71	246.95	247.73
Investment Securities Turnover	4.32	4.37	9.14	17.66	21.43	26.24	33.49	37.86	3.32	3.87	3.81	5.13	6.03	5.44	5.45	8.54	14.09
Turnover Period (Months)	84.48	83.47	39.94	20.67	17.03	13.91	10.90	9.64	109.88	94.32	95.87	71.17	60.50	67.08	67.02	42.73	25.90
ROE	6.89%	6.84%	12.25%	15.82%	18.33%	22.12%	25.38%	24.08%									
Financial Leverage	2.28	2.21	1.75	1.80	1.98	2.01	1.97	1.89									
Debt to Asset Ratio	1.27	1.19	0.73	0.79	0.97	1.00	0.96	0.89									
Debt Ratio	1.28	1.21	0.75	0.80	0.98	1.01	0.97	0.89									
Net Debt to Equity	-0.20	-0.10	-0.19	-0.17	-0.26	-0.37	-0.39	-0.47									
Interest Coverage Ratio	-67.00	-41.23	-45.74	-106.77	-129.77	-187.55	-372.15	-440.25									
Debt to Asset Ratio (Market Value)	0.58	0.77	0.45	0.56	0.80	1.01	1.22	1.39									
Debt Ratio (Market Value)	0.58	0.77	0.45	0.56	0.80	1.01	1.22	1.39									
Current Ratio	1.68	1.68	2.10	1.63	1.20	1.15	1.11	1.20									
Quick Ratio	1.49	1.47	1.78	1.35	1.00	0.98	0.94	1.04									
Total Asset Growth Rate	31.78%	-4.27%	-11.21%	18.88%	29.08%	24.14%	22.74%	19.38%									
Tangible Fixed Asset Growth Rate	33.17%	12.54%	-4.86%	29.22%	35.82%	21.22%	25.88%	13.70%									

Source: Company data, J.P. Morgan estimates.

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Figure 10: Cash Flow Statement

FY JPY mn	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E
Net Income	-62,848	11,583	3,306	11,329	25,698	41,232	52,187	31,490	33,704	63,713	93,627	126,341	182,964	260,362	308,037
Minority Interest	230	270	267	207	220	331	226	259	346	449	362	280	280	280	280
Depreciation	33,147	24,566	25,136	24,222	35,413	52,715	54,914	46,032	54,205	66,236	82,552	97,400	107,000	119,000	129,400
Change in Working Capital	1,123	-4,421	-6,366	786	-32,392	-14,412	-2,804	31,436	-9,772	-12,084	-37,293	-30,486	-37,004	-57,107	-34,035
Change in Other Current Assets	4,351	817	-962	7,255	5,068	14,575	48,237	95,814	-22,570	-29,924	85,479	210,000	180,000	165,000	150,000
CAPEX	-20,997	-22,409	-22,892	-57,076	-78,189	-60,615	-131,275	-146,583	-157,304	-64,277	-210,438	-300,000	-270,000	-360,000	-290,000
Change in Investments	-5,046	-7,848	12,812	4,681	-33,737	3,560	3,296	-48,824	51,369	26,512	0	0	0	0	0
Change in Intangible assets	955	524	-473	-324	-906	-56	269	589	241	-69	0	0	0	0	0
Change in Other Fixed Assets	704	-708	-3,840	-1,564	6,941	-2,588	-6,002	14,323	-15,920	-11,374	0	0	0	0	0
FCF	-48,381	2,374	6,988	-10,484	-71,884	34,742	19,048	24,536	-65,701	39,182	14,289	103,535	163,241	127,535	263,681
Change in Interest Bearing Debt	-66	-56	25	80,000	144	19,856	100,000	73,446	-500	-150,500	0	0	0	0	0
Dividends	-4,658	-4,890	-4,890	-4,891	-4,886	-5,584	-6,982	-5,588	-5,584	-8,377	-9,773	-15,357	-18,149	-27,922	-33,506
Treasury Stock	-3	15,696	7	27	-711	22	138	143	-514	45	0	0	0	0	0
CF from Other Financial Activities	-3,308	2,293	-8,758	-9,009	27,494	12,992	9,320	49,660	-32,055	4,197	0	0	0	0	0
CF	-56,416	15,417	-6,628	55,643	-49,843	62,028	121,524	142,197	-104,354	-115,453	4,516	88,177	145,091	99,613	230,175
Cash and Cash Equivalents	104,181	117,760	113,492	175,151	126,884	185,592	302,419	443,583	390,656	295,681	300,197	388,375	533,466	633,079	863,254
Key financial index															
ROE	-21.53%	4.31%	1.20%	4.20%	8.80%	12.12%	13.32%	6.89%	6.84%	12.25%	15.82%	18.33%	22.12%	25.38%	24.08%
ROA	-14.25%	2.75%	0.77%	2.41%	4.68%	6.64%	6.86%	3.17%	3.05%	6.24%	8.91%	9.66%	11.08%	12.78%	12.51%
Total Asset Turnover	0.604	0.713	0.677	0.629	0.590	0.646	0.549	0.373	0.334	0.408	0.542	0.529	0.513	0.531	0.496
Equity Ratio	63.22%	64.43%	64.03%	51.74%	54.61%	54.88%	48.89%	43.80%	45.35%	57.27%	55.52%	50.55%	49.73%	50.86%	52.85%
DuPont System															
ROE	-21.53%	4.31%	1.20%	4.20%	8.80%	12.12%	13.32%	6.89%	6.84%	12.25%	15.82%	18.33%	22.12%	25.38%	24.08%
Net Profit Margin	-23.59%	3.86%	1.14%	3.83%	7.94%	10.28%	12.50%	8.50%	9.12%	15.31%	16.42%	18.26%	21.59%	24.08%	25.20%
Total Asset Turnover	60.43%	71.34%	67.74%	62.87%	58.96%	64.55%	54.87%	37.28%	33.41%	40.76%	54.24%	52.91%	51.30%	53.07%	49.63%
Financial Leverage Ratio	1.58	1.55	1.56	1.93	1.83	1.82	2.05	2.28	2.21	1.75	1.80	1.98	2.01	1.97	1.89

Source: Company data, J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Ibiden (4062) *(Overweight; Price Target: ¥14,350)*

Investment Thesis

In addition Ibiden's dominant market share in substrates for GPUs for AI servers, we also expect it to see major earnings growth in EMIB substrates for ASICs and in standard ABF substrates from growing demand for AI servers. We believe the company is well-positioned to maximize benefits from the shift to larger and higher multi-layered FC-BGA substrates for AI server-use GPUs because of its strong technological abilities.

Valuation

Our December 2027 price target of ¥14,350 is based on (1) the ¥8,200 value derived from a zero-growth ROIC model (EV/IC = ROIC/WACC) using our FY2030 estimates (Rf = 2.57%, Rp = 5.15%, beta = 1.30, WACC = 6.72%) plus (2) Ibiden's 75% premium to the sector-average P/E (from August 2025 to September 2026, 12-month forward Bloomberg consensus basis), reflecting the rise in Ibiden's share price since August 2025 on expectations for earnings growth for AI server applications.

ROIC Valuation

ROIC Valuation

FY JPY mn	FY3/2016	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2030E	FY3/2031E
NOPAT	15,405	8,604	11,786	4,958	14,018	32,108	50,809	54,901	34,180	34,999	46,697	97,185	130,222	186,845	263,702	311,377
yoy % chg.	-	-44.15%	37.00%	-57.94%	182.76%	129.06%	58.24%	8.05%	-37.74%	2.40%	33.42%	108.12%	33.99%	43.48%	41.13%	18.08%
Invested Capital	402,441	332,668	359,036	345,394	421,145	475,666	541,902	690,928	854,452	834,130	732,841	817,057	928,321	1,093,416	1,326,136	1,600,946
yoy % chg.	-	-17.34%	7.93%	-3.80%	21.93%	12.95%	13.92%	27.50%	23.67%	-2.38%	-12.14%	11.49%	13.62%	17.78%	21.28%	20.72%
ROIC	3.83%	2.34%	3.41%	1.41%	3.66%	7.16%	9.99%	8.91%	4.42%	4.15%	5.96%	12.54%	14.92%	18.48%	21.80%	21.28%
WACC	8.01%	7.11%	7.41%	7.08%	6.66%	7.09%	4.81%	5.76%	8.34%	6.49%	11.65%	6.72%	6.72%	6.72%	6.72%	6.72%
ROIC-WACC	-4.18%	-4.77%	-4.01%	-5.68%	-3.00%	0.08%	5.18%	3.15%	-3.92%	-2.35%	-5.69%	5.82%	8.20%	11.77%	15.08%	14.56%
ROIC/WACC	0.48	0.33	0.46	0.20	0.55	1.01	2.08	1.55	0.53	0.64	0.51	1.87	2.22	2.75	3.24	3.17
EV/IC	0.41	0.35	0.43	0.42	0.59	1.04	1.39	0.82	1.12	0.89	1.15	1.15	1.15	1.00	0.88	0.68
EV	165,824	117,340	153,869	144,345	246,884	493,607	753,627	565,251	960,717	743,559	845,796	941,279	1,063,102	1,098,011	1,163,398	1,083,223
MV	242,721	195,566	253,578	226,949	306,466	538,515	833,827	658,982	1,090,892	757,952	900,336	900,336	900,336	900,336	900,336	900,336
Theoretical Enterprise Value	192,438	109,498	165,024	68,630	231,424	480,736	1,125,944	1,068,415	453,125	532,709	374,891	1,525,191	2,061,917	3,008,294	4,302,740	5,069,974
ΔTheoretical Enterprise Value	-	-82,939	55,525	-96,394	162,794	249,312	645,208	-57,529	-615,290	79,584	-157,817	1,150,300	536,726	946,377	1,294,446	767,234
ΔIC	-	-69,773	26,368	-13,642	75,751	54,521	66,236	149,026	163,524	-20,322	-101,289	84,216	111,264	165,095	232,720	274,810
ΔEVA/WACC	-	-13,166	29,157	-82,752	87,043	194,791	578,972	-206,555	-778,814	99,906	-56,528	1,066,084	425,462	781,282	1,061,726	492,424
Total	-	-82,939	55,525	-96,394	162,794	249,312	645,208	-57,529	-615,290	79,584	-157,817	1,150,300	536,726	946,377	1,294,446	767,234
Theoretical Market Capitalization	230,275	143,618	212,779	112,092	256,545	457,446	1,141,506	1,100,804	473,134	488,305	397,146	1,451,962	1,866,865	2,778,334	4,007,393	4,854,802
Valuation per share (JPY)	0	0	0	0	0	1,000	2,000	2,000	1,000	1,000	1,000	2,000	3,200	4,700	6,800	8,200
yoy % chg.	-	-	-	-	-	-	100.00%	0.00%	-50.00%	0.00%	0.00%	100.00%	60.00%	46.88%	44.68%	20.59%
Deviation from Actual Stock Price	-100.00%	-100.00%	-100.00%	-100.00%	-100.00%	3.69%	33.94%	69.53%	-45.78%	-22.01%	-34.34%	-83.07%	-72.90%	-60.20%	-42.42%	-30.57%
Implied P/E (x)	30.58	-2.29	18.37	33.91	22.64	17.80	27.68	21.09	15.02	14.49	6.23	15.51	14.78	15.19	15.39	15.76
Implied EV/EBITDA (x)	2.89	2.72	4.00	1.95	5.27	6.49	9.11	8.39	4.84	5.23	2.92	7.00	7.39	8.14	8.76	8.90
Implied PBR (x)	0.70	0.56	0.76	0.41	0.96	1.45	3.13	2.63	0.96	1.00	0.72	2.29	2.51	3.05	3.51	3.43

Source: Company report, Bloomberg Finance L.P., J.P. Morgan estimates.
Note: Market capitalization as of Oct 8. Implied P/E is on a fully diluted basis.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Better-than-expected profitability improvement for FC-BGA substrates for major CPU makers
- Yen depreciation
- Further market share growth for AI GPU substrates, volume upside for ASIC substrates

Downside Scenario to Target Price/Rating

- Inventory adjustments for AI servers, peaking-out of AI investment cycle
- Market share decline for BGA substrates for AI GPUs
- Procurement difficulties for core materials
- Roadmap delays in logic semiconductors, AI servers, etc.

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Ibiden (4062): Summary of Financials

Income Statement	2026/3A	2027/3E	2028/3E	2029/3E
Revenue	**416,201.0**	**570,071.0**	**691,884.0**	**847,284.0**
COGS	(284,532)	(359,302)	(428,713)	(497,223)
Gross profit	**131,669**	**210,769**	**263,171**	**350,061**
SG&A	(69,642)	(75,494)	(81,494)	(87,494)
EBITDA	**128,263**	**217,827**	**279,077**	**369,567**
D&A	(66,236)	(82,552)	(97,400)	(107,000)
EBIT	**62,027.0**	**135,275.4**	**181,677.2**	**262,567.2**
Net Interest	2,402	2,474	2,410	2,410
PBT	**91,092**	**134,985**	**180,887**	**261,777**
Tax	(26,929)	(40,996)	(54,266)	(78,533)
Minority Interest	(449)	(362)	(280)	(280)
Net Income	**63,713**	**93,627**	**126,341**	**182,964**
Reported EPS	**107.8**	**158.4**	**213.7**	**309.5**
DPS	**15.00**	**17.50**	**27.50**	**32.50**
Payout ratio	13.9%	11.0%	12.9%	10.5%
Shares outstanding	558	558	558	558

Cash Flow Statement	2026/3A	2027/3E	2028/3E	2029/3E
Cash flow from operating activities	**77,016**	**224,727**	**403,535**	**433,241**
o/w Depreciation & amortization	66,236	82,552	97,400	107,000
o/w Changes in working capital	(12,084)	(37,293)	(30,486)	(37,004)
Cash flow from investing activities	**(37,834)**	**(210,438)**	**(300,000)**	**(270,000)**
o/w Capital expenditure	(64,277)	(210,438)	(300,000)	(270,000)
as % of sales	*15.4%*	*36.9%*	*43.4%*	*31.9%*
Cash flow from financing activities	**(154,635)**	**(9,773)**	**(15,357)**	**(18,149)**
o/w Dividends paid	(8,377)	(9,773)	(15,357)	(18,149)
o/w Shares issued/(repurchased)	0	0	0	0
o/w Net debt issued/(repaid)	(150,500)	0	0	0
Net change in cash	**(115,453)**	**4,516**	**88,177**	**145,091**
Adj. Free cash flow to firm	**11,047**	**12,566**	**101,848**	**161,554**
y/y Growth	*-109.2%*	*13.8%*	*710.5%*	*58.6%*

Balance Sheet	2026/3A	2027/3E	2028/3E	2029/3E
Cash and cash equivalents	295,681.0	300,197.3	388,374.7	533,465.9
Accounts receivable	81,810	112,055	135,999	166,545
Inventories	70,962	89,609	106,921	124,007
Other current assets	169,860	218,753	260,008	307,640
Current assets	**465,541**	**518,950**	**648,383**	**841,106**
PP&E	437,704	565,590	768,190	931,190
LT investments	-	-	-	-
Other non current assets	57,180	57,180	57,180	57,180
Total assets	**960,425**	**1,141,720**	**1,473,753**	**1,829,476**
Short term borrowings	15,000	15,000	15,000	15,000
Payables	44,143	55,743	66,512	77,140
Other short term liabilities	162,502	247,981	457,981	637,981
Current liabilities	**221,645**	**318,724**	**539,493**	**730,121**
Long-term debt	177,476	177,476	177,476	177,476
Other long term liabilities	179,451	179,451	179,451	179,451
Total liabilities	**403,013**	**500,092**	**720,861**	**911,489**
Shareholders' equity	550,073.0	633,927.1	744,910.9	909,725.6
Minority interests	7,339	7,701	7,981	8,261
Total liabilities & equity	**960,425**	**1,141,720**	**1,473,753**	**1,829,476**
BVPS	**985.0**	**1135.2**	**1333.9**	**1629.0**
y/y Growth	*12.1%*	*15.2%*	*17.5%*	*22.1%*
Net debt/(cash)	(103,205)	(107,721)	(195,899)	(340,990)

Ratio Analysis	2026/3A	2027/3E	2028/3E	2029/3E
Gross margin	31.6%	37.0%	38.0%	41.3%
EBITDA margin	30.8%	38.2%	40.3%	43.6%
EBIT margin	14.9%	23.7%	26.3%	31.0%
Net profit margin	15.3%	16.4%	18.3%	21.6%
ROE	12.2%	15.8%	18.3%	22.1%
ROA	6.2%	8.9%	9.7%	11.1%
ROCE	5.5%	12.0%	14.4%	18.0%
SG&A/Sales	16.7%	13.2%	11.8%	10.3%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	0.4	0.5	0.5	0.5
Assets/Equity (x)	2.0	1.8	1.9	2.0
Interest cover (x)	NM	NM	NM	NM
Operating leverage	239.0%	319.4%	160.5%	198.2%
Tax rate	29.6%	30.4%	30.0%	30.0%
Revenue y/y Growth	12.7%	37.0%	21.4%	22.5%
EBITDA y/y Growth	26.0%	69.8%	28.1%	32.4%
EPS y/y growth	89.0%	47.0%	34.9%	44.8%

Valuation	2026/3A	2027/3E	2028/3E	2029/3E
P/E (x)	109.6	74.6	55.3	38.2
P/BV (x)	12.0	10.4	8.9	7.2
EV/EBITDA (x)	6.6	4.3	3.8	3.0
Dividend Yield	0.1%	0.1%	0.2%	0.3%

Source: Company reports and J.P. Morgan estimates.
Note: ¥ in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

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Date	Rating	Price (Y)	Price Target (Y)
02-Dec-23	OW	1778	2,250
09-Apr-24	OW	1583	2,100
22-Jul-25	N	1574	1,625
10-Oct-25	OW	2584	3,225
04-Dec-25	OW	2951	3,500
23-Mar-26	OW	4134	5,100
08-May-26	OW	8188	9,200
15-Jul-26	OW	8990	14,250

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 14, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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J.P. Morgan Global Equity Research Coverage*	53%	35%	12%
IB clients**	83%	81%	72%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	93%	88%

***Please note that the percentages may not add to 100% because of rounding.**
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